The Holy Grail of Trading

Session Notes — Order Flow & Market Mechanics

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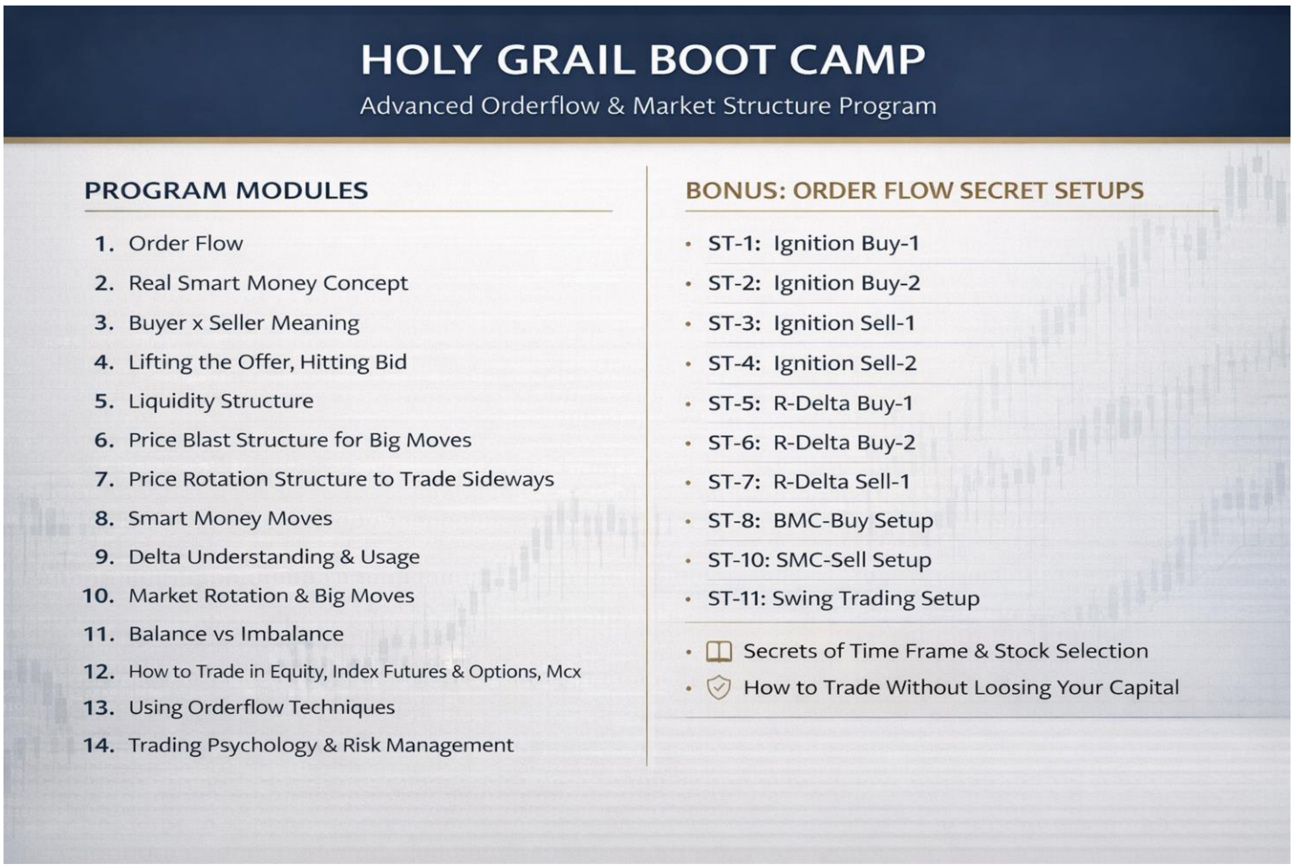
BOOTCAMP SYLLABUS



Class 1 Overview

This session is the first class of Balakrishna's trading boot camp, focused on establishing a foundational understanding of Order Flow — what it is, how to read it, and why it matters more than traditional technical indicators. Topics covered include:

- What Order Flow is and how it works as a tool
- Buyers vs. Sellers — the two fundamental forces of the market

- Understanding Demand and Supply at a deeper level
- Tick size and market pricing mechanics
- Limit Orders vs. Market Orders
- Lifting the Offer and Hitting the Bid
- Balance and Imbalance in the market
- Reading the Footprint Chart (Order Flow Chart)
- The 200% Imbalance Rule — the key to identifying price movement
- Imbalances as Accelerators of price movement

Key Insight: Order Flow is the PRIMARY ACTION in the market. Concentrating on this gives you the ability to identify market tops and bottoms with much greater precision.

1. What is Order Flow?

Order Flow is a software tool (sometimes called an Order Flow tool) that reads and displays all the transactions happening inside the market in real time. It reveals the hidden activity that standard charts — candlestick, line, or bar — do not show you

1.1 The Wire Analogy

Balakrishna uses a powerful analogy to explain why order flow is needed:

Wire & Electricity Analogy

Electricity (current) passes through a wire, but you cannot see it from the outside. Similarly, all market transactions happen inside every price tick, but a standard candlestick chart only shows you the resulting price movement — not what caused it. Order Flow is the tool that opens the wire and lets you see the electricity flowing through it.

1.2 What Order Flow Displays

The market only has two types of transactions at any price level:

- Buy transactions (buyers executing orders)
- Sell transactions (sellers executing orders)

Order Flow software extracts these transactions, quantifies them, and displays them on your screen candle by candle, price level by price level.

2. Why Not Use Indicators?

Most traders use indicators (RSI, Moving Averages, MACD, etc.) to try to understand the market. Balakrishna makes a critical distinction:

Approach	What It Uses
Indicator-Based Trading	Derived data — indicators are mathematical formulas applied to price. They are secondary, lagging interpretations of what has already happened.
Order Flow Trading	Raw, real-time data — the actual buy and sell quantities at each price tick. This is PRIMARY information directly from the market.

Key Insight: Every indicator is just a number derived from price data. Order Flow gives you the actual data — the numbers of buyers and sellers — before the price moves.

3. Buyers and Sellers — The Two Market Forces

3.1 Who is a Buyer?

A buyer in the market context is not simply someone who purchases something. In Order Flow terminology:

- A buyer is a person who pays a HIGHER price than the current market price.
- A buyer also DEMANDS more quantity — they want more of the asset, not less.
- Buyers create demand. Demand is the group of buyers collectively.

Real-World Example

Imagine ICICI Bank is trading at ₹1,380. A buyer who is willing to pay ₹1,385 or ₹1,390 — above the current market price — is exhibiting true buying behaviour. They fear missing the move, so they pay a premium. This urgency is what pushes price higher.

3.2 Who is a Seller?

Similarly, a seller in Order Flow terminology has specific characteristics:

- A seller is a person who OFFERS a LOWER price than the current market price.
- Sellers are willing to discount their asset to attract buyers and offload inventory.
- Sellers create supply. Supply is the group of sellers collectively.

Real-World Example

If 5 people want to sell gold but only 2 people want to buy, sellers will compete with each other. Each seller fears missing a customer, so they start offering the gold at lower prices — creating supply pressure that pushes the price down.

Key Insight: Balakrishna's Rule: Buyers ALWAYS pay higher prices. Sellers ALWAYS offer lower prices. This is the fundamental engine of price movement.

4. Demand and Supply — A Deeper Definition

4.1 Demand

Demand is NOT simply 'people wanting to buy something'. In Balakrishna's framework:

- Demand = A group of buyers who are willing to pay a HIGHER price than the current market price.
- When a person pays more than the market price because they fear missing a move, that is demand.
- Example: If a house is valued at ₹30 lakh but buyers start paying ₹1 crore because they believe the area will appreciate, that collective willingness to pay higher prices is demand.

4.2 Supply

Supply is NOT simply 'people wanting to sell something'. In Balakrishna's framework:

- Supply = A group of sellers who are willing to offer a LOWER (discounted) price than the current market price.
- When sellers fear losing customers, they offer discounts — this creates supply pressure.
- Example: If 5 sellers are trying to sell gold but only 2 buyers show up, sellers start undercutting each other — that is supply.

5. Types of Market Transactions

There are two primary types of orders in the market. Understanding the difference is critical to reading Order Flow correctly.

5.1 Limit Orders

- A Limit Order is placed at a specific price. You will only buy or sell if the market reaches that price.
- Limit orders give you FULL CONTROL over your entry price.

- Limit orders are used by traders who are patient and wait for the market to come to them.
- These are the 'passive' orders — they sit in the order book and wait to be filled.

Coffee Shop Analogy (Limit Order)
You tell the coffee shop: 'I will only pay ₹10 for a coffee. If your price is higher, I'm not buying.' This is a limit order — you will transact only at your specified price.

5.2 Market Orders

- A Market Order is executed IMMEDIATELY at whatever price is currently available.
- Market orders give you NO CONTROL over the exact price — you accept whatever the market offers.
- These are the 'aggressive' orders — they move the market.
- Market orders are driven by the fear of missing out (FOMO).

Coffee Shop Analogy (Market Order)
You need coffee urgently and you don't care about the price. You go from shop to shop until you find one that will sell it to you — at whatever price they charge. This is a market order — you travel forward (in price) to find a seller.

Key Insight: CRITICAL: In Order Flow analysis, only Market Orders are counted and displayed. Limit orders are passive exchanges; market orders are the ones that actually MOVE the price.

5.3 Exchange / Passive Transactions

In between aggressive demand and supply, normal exchanges also happen where both parties agree on the current market price. These are equilibrium transactions and do not significantly move the market.

6. Lifting the Offer and Hitting the Bid

These are two of the most important terms in Order Flow trading:

Term	Meaning & Implication
Lifting the Offer	A buyer places a MARKET BUY order. They 'lift' the best ask (offer) price in the order book. This means paying higher than the

	current price because of FOMO — they don't want to miss the move. This action PUSHES PRICE UP.
Hitting the Bid	A seller places a MARKET SELL order. They 'hit' the best bid price in the order book. This means accepting a lower price because they want to exit quickly. This action PUSHES PRICE DOWN.

The analogy Balakrishna uses to explain Lifting the Offer:

Beans Market Analogy

You want to buy 1 kg of beans. The local vendor near you charges ₹60/kg, but you need beans urgently. You accept the price (₹60) and the transaction is done. If they are too expensive, you travel to the next shop (at a higher price level). You keep traveling forward until you find a seller — this is exactly what price does when there is buying demand. Price travels upward through seller price levels to execute market buy orders.

Key Insight: Price always travels in search of buyers and sellers. When demand is high, price travels UP to find sellers willing to transact. When supply is high, price travels DOWN to find buyers willing to transact.

7. How Price Moves — The Mechanics

7.1 Price Movement is Caused by Imbalance

Price does NOT move randomly. Price moves because of an imbalance between buyers and sellers:

- When demand > supply: More people are willing to pay higher prices. Price moves UP.
- When supply > demand: More people are willing to sell at lower prices. Price moves DOWN.
- When demand = supply (balance): Price stays stable, moves sideways.

Car Wheel Analogy

Think of a car or two-wheeler parked. The wheel is not moving — that is a balanced market. When you press the accelerator, the wheel starts to rotate (price starts to move). The more you accelerate, the faster it moves. The imbalance between buy and sell orders is the accelerator pedal of the market.

7.2 Minimum Quantity Required to Create Imbalance

One key insight from the session: A single large trade does NOT necessarily move the price. You need a MINIMUM QUANTITY of buying or selling pressure to create imbalance.

Real Estate Example

If one person pays ₹1 crore for a house in an area where typical price is ₹30 lakh, that alone does NOT change the market price. It is only when enough people (a critical mass of buyers) start paying that premium that the area price starts to rise. The point at which collective demand crosses the threshold is the 'imbalance point.'

Key Insight: The minimum quantity needed to create imbalance and move the price is 200%. If 10 people bought at ₹100, you need at least 20 people buying at ₹101 to push the price from ₹100 to ₹101.

8. The 200% Imbalance Rule

This is one of the most important rules in the entire course — the 200% Imbalance Rule:

- At any price level, for the price to move to the next tick, the buying (or selling) quantity at the new level must be at least 200% of the quantity at the previous level.
- If the ratio is less than 200%, the price will not sustain the move and may reverse or stall.
- A 200% or higher ratio = a true imbalance = price will move and hold.

Scenario	Result
10 people buy at ₹100. 20+ people buy at ₹101 (200% or more).	Price moves UP from ₹100 to ₹101 and holds.
10 people buy at ₹100. Only 19 people buy at ₹101 (199%).	Price WILL NOT move to ₹101 sustainably.
10 people sell at ₹100. 20+ people sell at ₹99 (200% or more).	Price moves DOWN from ₹100 to ₹99 and holds.

9. Reading the Footprint / Order Flow Chart

The Order Flow chart (also called the Footprint chart) is the primary tool used in this method. Here is how to read it:

9.1 Chart Layout

- Each candle in the chart is expanded into a grid showing buy and sell quantities at every price level within that candle.
- RIGHT SIDE numbers = Buying quantities (market buy orders).
- LEFT SIDE numbers = Selling quantities (market sell orders).
- Green background cells = Buying activity.
- Red background cells = Selling activity.
- Dark green = Higher quantity of buyers at that level.
- Light green = Lower quantity of buyers at that level.

9.2 How to Configure the Chart (Tick Size / Block Size)

The interval (block size) determines how the data is grouped and displayed. This is called the 'tick' or 'interval':

- Tick = The minimum price difference at which a transaction can occur. This varies by instrument.
- For example: If the tick size is 5 paise, then every 5 paise movement in price is one tick.
- You can customize the block size (e.g., show data for every ₹0.50, every ₹1, etc.) in Settings → Order Flow.
- A smaller block size = more granular data but very large candles.
- A larger block size = more manageable, readable candles.

□ Shopkeeper Analogy for Block Size

Imagine you open a new shop and want to track business. If your assistant calls you every minute to report, you will both get frustrated. Instead, you ask them to call every hour and give a summary. Similarly, instead of showing data for every single paisa move (too granular), you set the block size to, say, ₹0.50 or ₹1 — giving you a clear, readable summary of transactions within that range.

9.3 Reading Green Candles vs. Red Candles

- For a GREEN (bullish) candle: Compare the numbers from the BOTTOM-LEFT (early selling) to the TOP-RIGHT (late buying). Read diagonally.
- For a RED (bearish) candle: Compare the numbers from the TOP-LEFT (early selling at highs) to the BOTTOM-RIGHT (late buying at lows). Read diagonally.
- The diagonal comparison reveals whether buyers or sellers were dominant throughout the candle's move.

10. Imbalances as Accelerators

Once you understand imbalances (areas of 200%+ activity), you can understand how price accelerates:

- In the Order Flow chart, cells highlighted with a GOLDEN BACKGROUND represent imbalances — areas where the 200% rule has been met.
- These golden cells are like accelerators — they show WHERE the market is getting aggressive fuel to push price in one direction.
- Multiple consecutive imbalances = sustained momentum in that direction.

Accelerator Analogy

Think of driving a car. In neutral/idle mode, the car barely moves — that is balance (equilibrium in the market). When you press the accelerator, the car starts to move. Each time you press more, it speeds up. Golden imbalance cells are exactly like pressing the accelerator — each one adds fuel to the price move.

- Non-imbalance (normal) transactions = idle mode transactions — they keep the price 'alive' but don't push it.
- Golden background (imbalance) transactions = acceleration — they push price significantly.
- Why is this important? When you see a cluster of golden cells, you know the move has genuine momentum behind it.

11. Why Diagonal Comparison Matters

A student asked: 'Why do we compare diagonally?' Balakrishna's answer contains a core insight:

The Secret of Diagonal Reading

A buyer is someone who pays a HIGHER price AND demands MORE quantity. To see this in the footprint chart, you must look diagonally — comparing where quantity was at a lower price level (earlier in the move) versus where quantity is at a higher price level (later in the move). If you see MORE quantity at higher prices copared to lower prices that is true buying demand. If you see LESS quantity at higher prices, the buying is weakening.

For sellers, the logic reverses:

- A true seller offers a LOWER price and provides MORE quantity at that lower price.
- If a seller wants to push price down, they must offer enough quantity (200%+) at a lower price to create imbalance.
- A single large sell order at a discount does not move price — only collective, 200%+ selling moves price.

12. Order Flow Applicable Instruments

A common question from students: Where can Order Flow be applied?

Instrument	Applicability
Equity / Stocks (Cash)	✅Directly applicable
Equity Futures	✅Directly applicable — primary recommended instrument
Nifty / BankNifty Futures	✅Directly applicable
Forex	✅Applicable (same principles)
Cryptocurrency	✅Applicable (same principles)
Options	□ DO NOT apply Order Flow directly — options pricing involves multiple variables (Greeks, IV, etc.). Use Order Flow on the underlying futures, then trade options based on the levels identified.

□ **Key Insight:** Order Flow is a universal concept — it applies wherever there are buyers and sellers. The core mechanics of price movement are identical across equities, futures, forex, and crypto.

14. Important Practical Notes

14.1 Mechanical Setups vs. Order Flow Reading

Balakrishna distinguishes two levels of this course:

- Level 1 — Mechanical Setups: You follow specific entry rules. When the setup forms, you act. You do not need to deeply understand Order Flow to trade these setups.
- Level 2 — Full Order Flow Reading: You understand every transaction in the market, can read momentum, and can catch tops/bottoms. This requires deeper study and practice.

If Order Flow reading feels overwhelming initially, start with the mechanical setups — they are rule-based and do not require deep Order Flow interpretation.

14.2 What Qualifies as a 'Crash'?

- A 3% fall in price is NOT a crash — it is a pullback or profit-booking opportunity.
- A move of 25% or more downward is considered a crash.
- Example: Gold falling 3% after a strong rally = profit booking by early buyers, not a crash.

Glossary of Key Terms

Order Flow: A software tool that displays all buy and sell transactions happening in the market at every price level, in real time.

Footprint Chart: Another name for the Order Flow chart — shows buy/sell quantities inside every candle.

Buyer (Order Flow Definition): A participant who pays a price HIGHER than the current market price and demands MORE quantity.

Seller (Order Flow Definition): A participant who offers a price LOWER (discounted) than the current market price with higher quantity.

Demand: A group of buyers willing to pay above market price. Creates upward price pressure.

Supply: A group of sellers offering below market price. Creates downward price pressure.

Tick Size: The minimum price increment at which a transaction can occur, instrument-specific.

Block Size / Interval: The customizable price range used to group transactions in the Order Flow chart.

Limit Order: An order placed at a specific price; only fills when market reaches that price. Passive, does not move market.

Market Order: An order executed immediately at the best available price. Aggressive, moves the market.

Lifting the Offer: Placing a market buy order — paying a higher (ask) price due to fear of missing a move.

Hitting the Bid: Placing a market sell order — accepting a lower (bid) price to exit quickly.

Imbalance: A situation where buy or sell quantity at a new price level is 200%+ of the prior level — sufficient to move and sustain price.

Balance: Equal or near-equal buy/sell activity — price remains stable.

200% Rule: The minimum ratio of buying (or selling) quantity required at the next price level to create a sustainable price move.

Golden Background Cell: A cell in the Order Flow chart highlighted in gold — indicates an imbalance location, an accelerator of price.

Diagonal Reading: The technique of comparing quantities diagonally in the footprint chart to assess strength of buyers or sellers.

Accelerator: An imbalance zone in the Order Flow chart that provides fuel for a price move, analogous to pressing a car's accelerator.

— End of Class 1 Notes —

Notes designed by Azam (Bootcamp Manager)